Think Ahead ACCA

STRATEGIC BUSINESS LEADER

PRE-SEEN INFORMATION

Applicable for the September 2024 Exam

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1. Introduction

Beago is a transport network company (TNC) operating in the country of Bealand, which has a population of over 200 million people. Beago was established 12 years ago and has since grown to become the second largest TNC business in Bealand (based on revenue and customer numbers).

2. TNC industry information

Overview

A TNC is a business which provides on-demand transportation services to customers through a website or a mobile app-based platform. Unlike traditional taxicab hire businesses, TNCs do not maintain their own fleets of vehicles or employ drivers directly. Instead, individual drivers of cars work as independent contractors for TNCs. Customers request a ride through the TNC platform and are then connected to a contracted driver who is also connected to the platform. For the purpose of this pre-seen and the case study exam, the term TNC will be used to define businesses which offer the range of services outlined on pages 3 and 4.

Bealand has a well-developed economy and nearly 80% of its population live and work in its urban areas. Its public transport facilities, including buses and trains, have come under increasing pressure in recent years due to a rapidly growing urban population, leading to overcrowding and unreliability. Bealand's government is therefore supportive of innovative ways to address the transport challenges facing the country's many cities. TNCs have proved to be popular in the cities as they offer a convenient and reasonably priced alternative to public transport. The government of Bealand sees TNCs as an alternative to people owning and using their own cars.

Bealand market

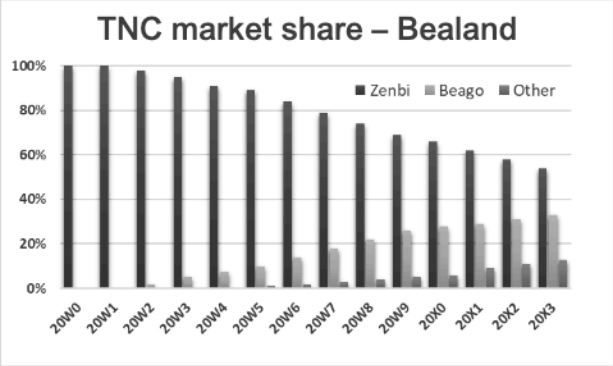
Zenbi is Beago's main competitor and was the first TNC business established in Bealand, 14 years ago. Zenbi is currently the largest TNC operating in Bealand, and is also the world's second largest TNC, currently operating in over 50 countries.

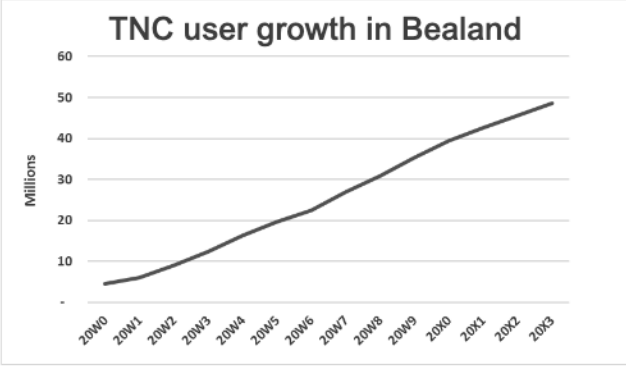
Beago was established two years after Zenbi and over the years has gradually obtained a significant proportion of Zenbi's market share. Beago only operates in Bealand, offering its services in 250 cities across the country. Currently, the local authority of each city sets its own criteria for allowing operating licences to TNCs and their drivers.

Several TNC businesses have been attracted to the Bealand market in the last decade but most of these currently only operate within a limited number of cities. At the end of 20X3, together, Zenbi and Beago held 85% of the TNC market in Bealand.

Customers registered with TNCs in Bealand have doubled in the last eight years. By the end of 20X3, 25% of Bealand's population were active users of TNC services.

However, competition for customers also comes from traditional taxicabs and from public transport, including trains and buses.





TNC services

Service	Description
Ride sharing	The term ride sharing refers to sharing a ride with other passengers. A shared ride allows multiple and unrelated customers with pickup and drop-off locations along the same or similar route to share a vehicle for that journey, usually at a discounted price. Both Zenbi and Beago were initially established to offer a ride sharing service, enabling drivers and customers to connect and share a ride. Ride sharing aims to reduce the number of single occupancy rides within cities, reducing congestion and impacting positively on the environment. The cost of the ride is also shared between each customer, making it a cost-effective transportation option. Customers must specifically request a shared ride on a TNC's platform to use this service.
Ride hailing	The term ride hailing refers to when a customer requests a driver to take them to exactly where they need to go. This can be achieved by virtually 'hailing' a ride from a TNC business using their app or website. Using a traditional taxicab business, this would be achieved by hailing a taxicab from the street or making a phone call to book one. Ride hailing is the most popular service offered by most TNCs, including Zenbi and Beago. These rides can be on-demand or scheduled in advance.
Micro mobility	Micro mobility refers to a network of shared bicycles, which can be rented by customers looking for transportation options which are more active, lower priced, more environmentally friendly, and often more efficient for shorter trips during heavy traffic. Bicycles are located at fixed docking stations in key locations around a city. The docking station contains a terminal to release the bicycle. Customers use the TNC's platform to book and pay for the bicycle rental. On completion of the booking, customers are provided with a code to unlock the device from the docking station. The bicycle can then be returned to any docking station at the end of the hire period. Micro mobility options are often used by customers to complete the last part of their journey, such as a bicycle from a bus or train station to their place of work.

Service	Description
Customer rentals	Customer rentals is a partnership arrangement between TNCs and local and national car rental businesses where customers can book a rental car through the TNC's platform. The focus is on minimising the need for car ownership and making car rental a viable and easy alternative for customers. Customers can arrange a car rental (normally for a period of between 1 and 14 days) directly through the TNC, who arranges for a driver to pick up and drop off the customer at the car rental business. The car rental businesses pay a commission to the TNC for each car rental booked through the TNC's platform.
Business services	Business services are offered by TNCs to a range of businesses, to assist their employees to commute effectively and to travel to events and meetings. Also, businesses use TNCs to provide courtesy transport for their customers/clients. Business service solutions help client businesses to reduce costs, save time, and streamline their own ground transportation activities.

TNC customers

TNC customers use TNCs to travel from one point to another, such as commuting to and from work, exploring cities and to shop at local businesses.

- To become a customer, an online account must be created on a TNC's website or mobile 'Customer app'.
- The customer must enter their personal details (name, address and email). They must also input credit or debit card details, as all payments to TNCs are made electronically through the TNC platform.
- Once registered, customers can choose from the range of services offered by the TNC.
- To book a ride hail or a ride share, the customer must enter their required pick-up location (or use the global positioning system (GPS) on their phone) and a destination.
- A price for the ride is quoted at the point of booking which the customer must confirm to accept the ride. A notification of the ride request is then automatically sent to the TNC's 'Driver app'.
- Once a driver has confirmed acceptance of the ride, the Customer app notifies the customer of the driver profile, the vehicle model, and the vehicle registration number, which allow the customer to check driver details before getting into the vehicle.
- The Customer app tracks the arrival of the driver on the in-app map, so that the customer can check progress of the driver's arrival. At the end of the ride, payment is automatically deducted from the customer's bank/credit card.

TNC drivers

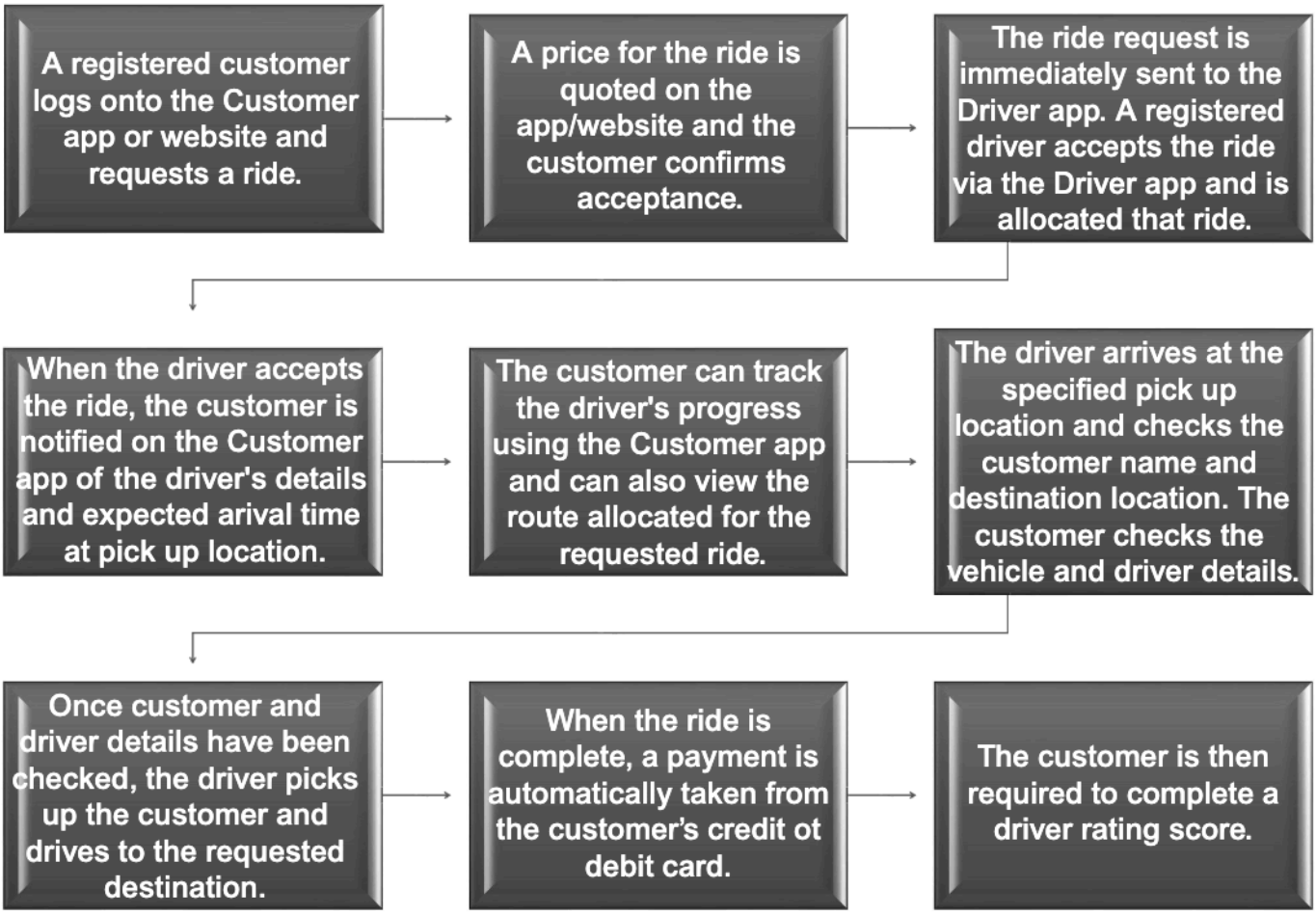
- To drive for a TNC, a driver must register on the TNC's website or Driver app.
- The driver must choose the city they wish to drive in.
- The driver must hold a full Bealand driving licence and a private car hire licence, authorised by the local authority of the city they wish to drive in.
- The driver must also upload a recent photo, so that customers can identify them when being picked up. A driver is not authorised to drive until all necessary background checks have

been verified, including criminal background, driving offences and medical health checks. These background checks are normally carried out by a third-party expert provider.

- Once verified, a driver can accept a requested ride (by clicking 'Accept' in the Driver app).
- Most TNCs require drivers to have a vehicle which meets specifications relating to the age and condition of the vehicle, which must be fully insured. However, drivers do not need to own their own vehicles. Many TNC drivers use leased vehicles to drive for TNCs and some TNCs offer leasing facilities to their drivers.
- Drivers do not set their own prices. Each ride price is calculated by the TNC and is based on a standard rate fare plus a charge per kilometre. TNCs pay each driver between 75% and 85% of the ride price for each ride completed.

In Bealand, drivers working for TNCs are recognised as independent contractors and not employees of the TNC. This allows drivers to choose their own working hours. This flexibility attracts a wide range of drivers, including students, retired people and part-time workers.

The ride hailing and ride sharing process



Industry challenges

TNC operations are subject to global economic conditions, including the resulting impact on spending by customers. Slow economic growth, recession or increases in fuel costs can decrease consumer spending power or confidence, which hinder TNC operations, resulting in lower revenues and earnings.

Growth of TNC business depends on the ability to attract and retain qualified drivers who satisfy the required screening criteria and increase available drivers' operating hours. If TNCs do not

provide drivers with flexibility and opportunities to earn sufficient income, they will fail to attract new drivers and/or retain current drivers resulting in complaints and negative publicity. This will inevitably adversely affect customers and business clients. As urbanisation increases and car ownership decreases, maintaining and growing the necessary pool of drivers will be a challenge for TNCs.

Similarly, success in the industry depends on the ability to attract new customers, retain existing customers and increase their usage. Customers have a wide variety of options for transportation, including using their own vehicles, rental cars, taxicabs, public transport and other TNC businesses. Customer preferences are likely to change over time so TNCs must continually look to new ways to appeal to new customers who have historically used other forms of transportation or other TNC platforms.

Safety issues have been a major challenge for the TNC industry. Illegal, improper or inappropriate activities by customers and drivers have adversely affected the reputation of the whole industry. These activities have included assault, theft, unauthorised use of credit and debit cards or bank account details and the sharing of customer and driver account information. Such conduct has exposed TNCs to several high-profile lawsuits. The challenge for TNCs is to implement and continually update sufficient measures to safeguard against illegal/improper activities. Without these measures, growth and retention of customers and qualified drivers will be a continual challenge for TNCs.

The environmental impact of transportation has become a major focus for governments across the world. The transportation industry is considered to be a significant contributor to air pollution, and TNC activity has been cited as a cause for rising congestion and air pollution in urban areas. Several cities in Bealand are introducing technologies to manage traffic flow and congestion, which could disrupt the services offered by TNCs. Also, clean air zones (CAZ) are being introduced in many towns and cities to improve air quality, with fees being imposed on all drivers driving in those designated zones.

Latest developments

- **Food delivery.** TNCs in some countries have recently started to offer a service where customers can order food through a dedicated app from local and national restaurants and food outlets. Orders are placed via the TNC's platform, the restaurant confirms the order, prepares the food, and a TNC driver picks it up and delivers the food to the selected destination.
- **Driverless (autonomous) cars.** Some global TNCs are currently testing the viability of driverless cars to deliver their services, but currently all such vehicles must operate with at least one supervisory person present in the vehicle. Driverless cars can navigate to a destination, avoiding obstacles without human intervention. To accomplish this, it uses an artificial intelligence system which senses its surroundings, processes visual data to avoid collisions, steers, brakes, and uses GPS to track current location and destination.
- **Electric vehicles (EV).** Most TNCs recognise their potentially negative impact on the environment due to increasing mileage covered by drivers using fossil fuelled cars. Therefore, many TNCs are increasingly encouraging drivers to use EVs.

Industry key performance indicators (KPIs)

KPI	Definition
Number of active customers	The number of customers who have used the TNC's app in a specified period of time.
Number of active drivers	The number of drivers who have been active on the TNC's platform in a specified period of time.
Rides completed	The number of rides which have been completed through the TNC's platform in a specified period of time.
Revenue	The amount of money generated by the TNC from fares, commission fees and other sources.
Net promoter score (NPS)	The customer satisfaction and loyalty rating, with higher scores indicating more satisfied and loyal customers who would recommend the TNC's services to a colleague or friend.
Driver satisfaction	The drivers' satisfaction level with the TNC based on a range of measures including rates of pay, safety provisions and level of support offered by the TNC.

Regulation

There are currently no overall standards to which all TNCs in Bealand should adhere in terms of operational requirements, technology and data security, driver status or environmental impact expectations.

In some countries, drivers have set up trade unions and driver network associations, which have enabled them to gain a collective voice. Where implemented, these have been popular with drivers and there has been some success in challenging TNCs through the particular country's legal system on recognising driver employment rights and status.

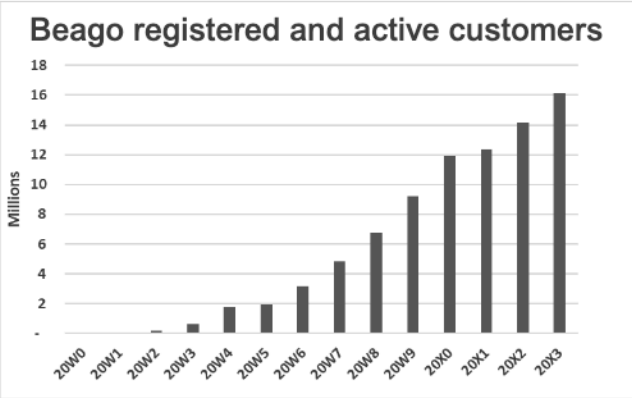
3. Beago overview

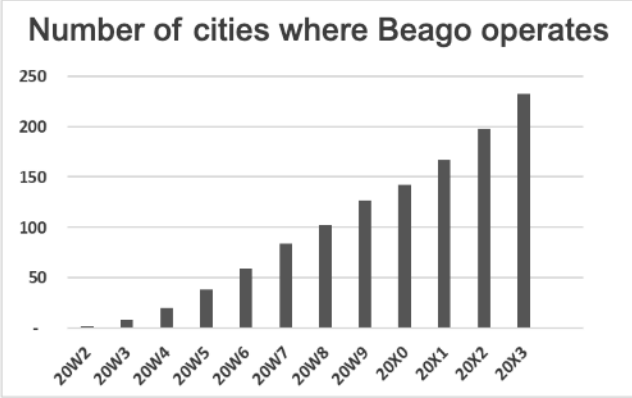
Background

Beago was established in Bealand 12 years ago by Ed Foss and Kim Lee, two work colleagues who had previously set up and managed a business in Bealand, developing mobile apps for other organisations. Having experienced their own daily challenges in commuting and socialising in Bealand's capital city, where they lived and worked, they recognised the need for a more convenient and cost-effective transport option within Bealand's cities. Their initial focus was to encourage customers to share rides wherever possible, although ride sharing and ride hailing were both available to customers.

In the early days, operating with only a basic website and mobile app and only a few drivers, it was clear to Ed and Kim that demand for ride sharing and ride hailing services was high. Over the next few years, supported financially by several venture capitalist investors, Beago grew rapidly, and by the end of 20X3 it had over 16 million active customers. This is predicted to rise to 19 million by the end of 20X4.

Beago growth



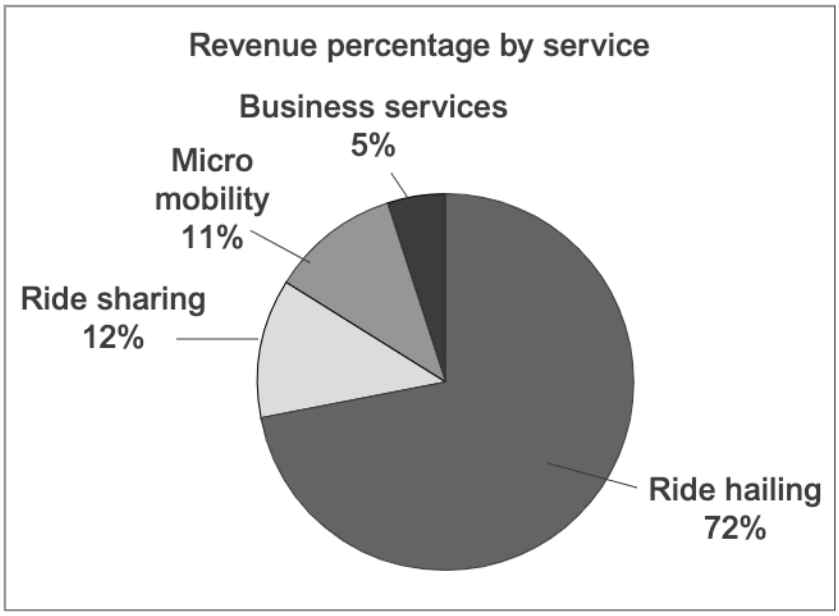


Ownership

Beago was listed on the Bealand stock market five years ago. 80% of its shares are held by large institutional investors, 10% of its shares are held by the original founders and the remaining shares are held by small private investors.

Services offered by Beago

Ride hailing and ride sharing



When it was first established, Beago focused primarily on shared rides, as the founders wanted to offer an environmentally sustainable transport solution. However, over the years, ride hailing has become increasingly popular with customers, who want to get from point A to B without sharing their ride with another customer. Currently, over 70% of Beago's revenues are generated from its ride hailing services. Ride sharing is still demanded by customers, particularly students and lower income customers but currently only generates 12% of Beago's revenues.

Micro mobility

Five years ago, Beago acquired a national micro mobility business, enabling it to offer its customers a new service of bicycle hire. This environmentally friendly transport option has proved to be very popular with customers in Bealand and in the last two years, Beago has invested significantly in additional infrastructure to support the growing demand for this service. Currently, Beago operates its micro mobility services in over 100 cities across Bealand and it has over nine million active users of its micro mobility services.

Business services

Two years ago, Beago partnered with several national organisations to transport their staff to and from the workplace and meetings/events and to transport customers and clients to and from meetings, hotels and airports, train and bus stations.

Technology used by Beago

Beago uses several different technologies to facilitate its operations:

Website and mobile apps	These are the front-end technologies which are used to interact with the customers and drivers.
Payment processing software	This software system processes the automatic payments from customers on completion of each ride. In addition, this system processes the weekly payments made direct to drivers' bank accounts, based on the rides completed and the percentage of the ride price earned by the driver.
Customer and driver database	Beago's database collects and manages driver and customer data, including: Customer name, address, email, date of birth and mobile phone number. Bank/credit card details needed to pay for each ride taken. Customer rides completed (start and end point, duration, time). Driver name, address, driving licence details, insurance details, car registration number, bank details. Driver rides completed, average ride time, driver rating.
GPS software	Beago uses a sophisticated GPS software system to accurately map the position of its customers and drivers. This software can pinpoint customers when they request a ride and then pinpoint their final destination. This software is also used to calculate the optimum route for drivers to reach the customer and their destination. Customers have access to the GPS information to give them live information about their ride and drivers have access to this information to locate the customer and then follow the recommended route to the destination.

Beago has a commercial agreement with a Bealand based cloud services provider to deliver and host the Beago technology platform. Beago's technology platform is critical in enabling the millions of rides undertaken every day and it also provides insights which Beago uses to develop its technology further. It uses its historical and real-time data to continuously improve experiences for drivers and customers by analysing the data covering the ride lifecycle, from when drivers go online and customers request rides, to when they match, which route they take, and feedback given after the rides. By using machine learning capabilities, Beago can predict future behaviour based on many years of historical data to inform and enhance its service development.

Beago relies significantly on technology to attract new drivers and customers through video, social media, email, search engine optimisation, keyword searches and traditional promotions such as TV and radio. Beago engages with its current customers through a variety of online media, including emails, in-app notifications and social media content. Beago's marketing message is 'We go with Beago'.

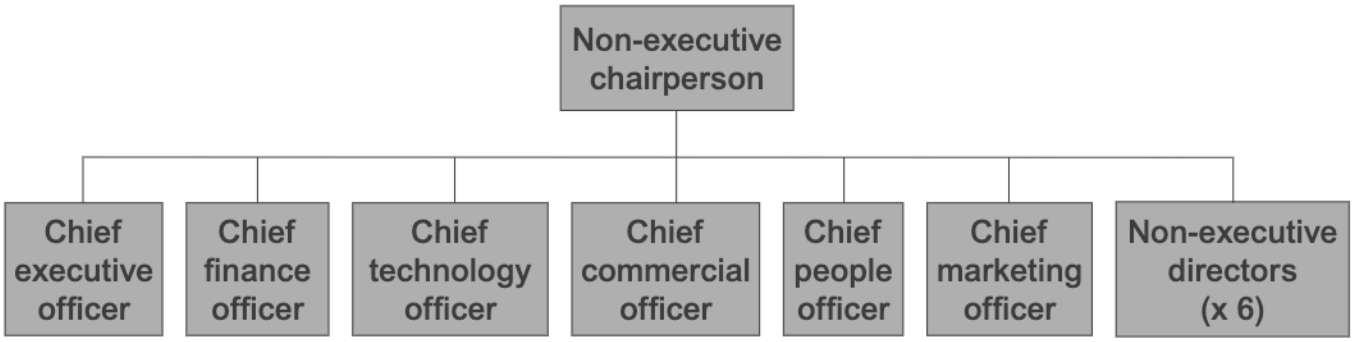
Beago's staff

Function	Number	Percentage
Research and design	1,127	22%
Product management	820	16%
Data science and technology	717	14%
Customer services	717	14%
Legal and safety	615	12%
Sales and marketing	512	10%
Finance	256	5%
Human resources	205	4%
Other	154	3%
	5,123	100%

Beago employs over 5,000 staff in 60 locations across Bealand. Over 50% of its staff are employed in research and design, product management and data science and technology.

(**Note:** Drivers are NOT recognised as employees by Beago.)

Senior leadership structure



Extracts from Beago's risk register

Risk category	Description
Reputation, brand and culture	Building a strong reputation and brand as a safe and affordable service is critical to our ability to attract and retain qualified drivers and customers. Negative perception of Beago which may harm our reputation and brand include: – Illegal, negligent, or reckless behaviour by drivers or customers – Concerns of customers or drivers about safety – Disruptions of, or defects in, our platform such as privacy or data security breaches or outages which impact the reliability of our services – Failure to operate consistently with our values and mission – Failure to maintain a culture which employees value and wish to work within.
Technology infrastructure	Our business involves the collection, storage and processing of customer and driver personal data. We also maintain confidential and sensitive information relating to our business. Therefore, our systems are vulnerable to security incidents and breaches. As the techniques used to obtain unauthorised access or sabotage systems change frequently, we may be unable to anticipate or prevent such attacks. We also rely on our third-party cloud service provider to ensure that it maintains sufficient investment in systems security and reliability.
Competition	The TNC market is highly competitive and characterised by rapid changes in technology. We expect competition to continue, both from current competitors and new entrants in the market. If we are unable to anticipate or successfully react to these competitive challenges, our competitive position could weaken. We also compete with public transport, taxicab companies, car rental businesses and micro mobility companies, some of which may have greater resources than we do.
Licensing and industry regulations	We depend on the local authority of each city in which we operate to grant us and our drivers the operating licences to permit our operations. If we, or our drivers, do not comply with license arrangements or other transport providers put pressure on local authorities to prevent us from receiving these licences to operate, this will severely restrict our business. Similarly, increasing regulation of the TNC industry related to its impact on the environment and increased safety requirements for both customers and drivers is expected, and will continue to increase our costs.

4. Beago website extracts

Mission

To provide communities with affordable, accessible, and sustainable transport.

Vision

A world where transport and technology work seamlessly to bring people, businesses and communities together.

Values

Our Ethical Code of Conduct ensures that we maintain our focus on operating to the highest ethical and professional standards. Our focus is also on the safety of our customers, drivers and the communities we work within.

Committed to safety

We value the safety of our customers and drivers. To protect them we implement a range of safety features:

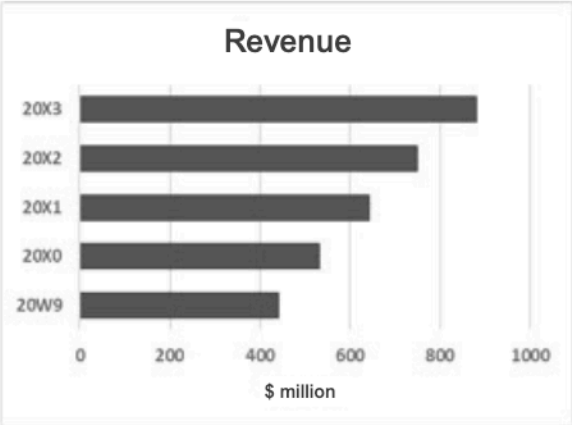
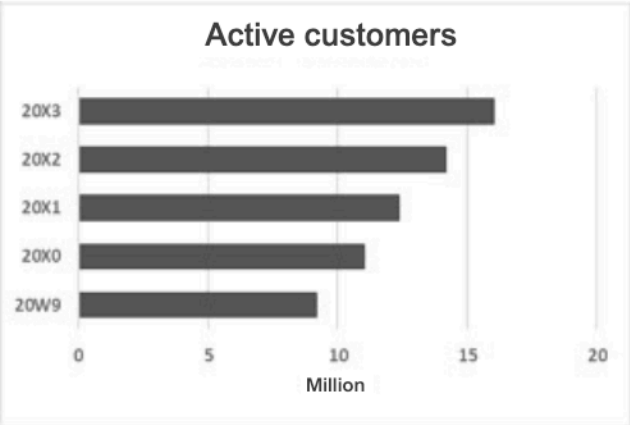
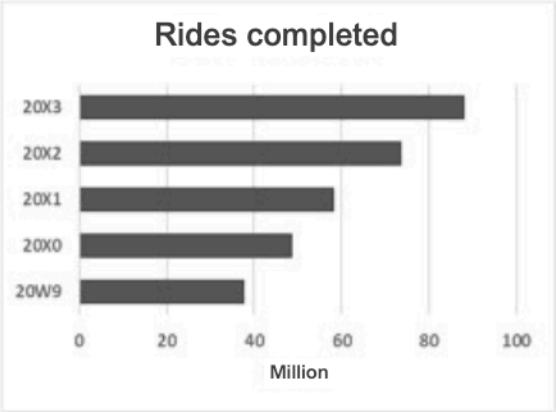
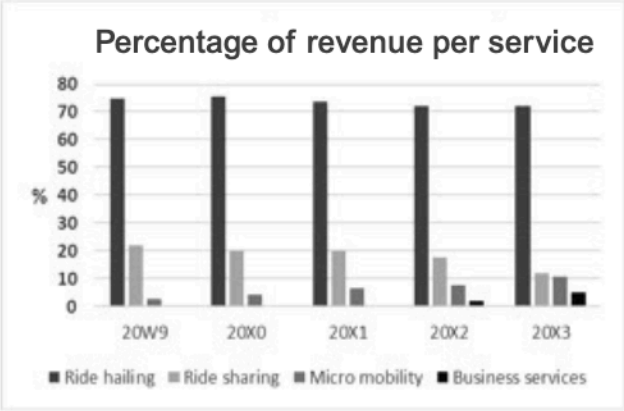
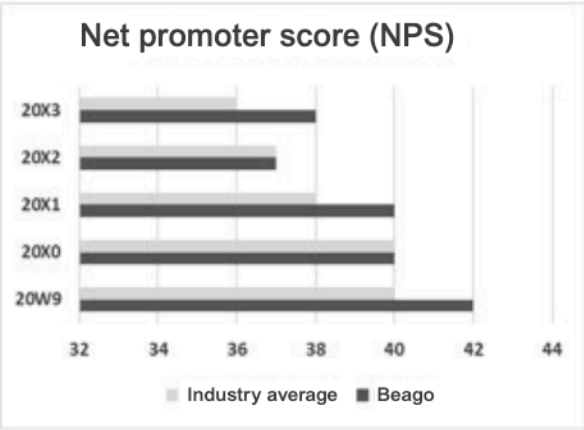
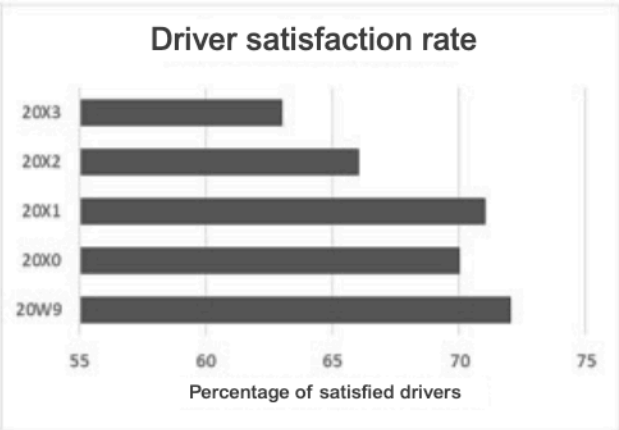
- Annual background checks on every driver are carried out by third party experts.
- Continuous criminal monitoring means drivers with disqualifying criminal convictions are removed from the platform immediately.
- Drivers must complete a safety programme annually, which includes how to create a safe and comfortable ride, appropriate conversation topics and respecting personal boundaries.
- If a customer or driver feels uncomfortable or needs emergency assistance at any point, they can instantly connect with our security team through an in-app help button, 24/7.
- Customers have access to a 'friends and family' notification system, which can notify designated customer contacts of the details of rides in progress.
- Most of our drivers' vehicles have been equipped with cameras to record rides to protect both customers and drivers.
- Data privacy and the storage and usage of our customers' data is a top priority. All customer contact details, ride and payment information are considered classified data, and we fully comply with all Bealand legislation in terms of data privacy, storage and usage. We also expect our cloud service provider to operate to the same standards in terms of protecting and managing our customers' personal data.
- At the end of each ride, drivers and customers must rate their ride. Any customer or driver who submits a rating below 80% satisfaction is prompted to provide more details.

Committed to the environment

A primary concern of government and the communities we serve is the level of harmful emissions in Bealand's towns and cities. We are aware that our business is a contributor to these emissions. Therefore, we are committed to reducing our impact, in several ways:

- We encourage customers to select shared rides and micro mobility options wherever possible.
- We continue to invest further in our micro mobility infrastructure across Bealand.

– We have launched an in-app feature for customers to be able to request rides in electric or hybrid vehicles instead of fossil fuelled vehicles.

– As we do not own the vehicles used by our drivers, we will continue to find ways to incentivise more drivers to use more environmentally sustainable vehicles, such as assisting our drivers in making contact with electric car rental businesses.

5. Beago's KPIs